Paradiem

The Morning Brief

JULY 26, 2026

Aramco Struck

Houthi missiles hit Aramco Jizan and Yanbu Saturday in the first direct attack on Saudi oil infrastructure since 2022, opening a new front as the FOMC, PCE, and Big Tech gauntlet frame Monday's setup.

S&P 500 (FRI CLOSE)	BRENT (WEEK)	BITCOIN (FRI CLOSE)	ARAMCO (SAT)	FEAR & GREED
$738.93 · ↓~0.6% on the week	↑~10% on the week per Bloomberg · Sat Aramco strike open catalyst	IBIT $36.35 · ↓0.82% · weekend range near mid-$60Ks per Yahoo	Jizan refinery ablaze · Yanbu missiles intercepted per Washington Post	CNN 39 Fear per CNN · data drop returned crypto fallback (26)

SECTION 01

Markets — Week in Review With a Weekend Escalation That Could Reprice the Monday Open

FRIDAY STABILIZED THE TAPE BUT THE SATURDAY ARAMCO ATTACK RECASTS SUNDAY-NIGHT FUTURES INTO THE FOMC AND BIG TECH GAUNTLET

Per Yahoo Finance and CNBC coverage referenced in Friday's brief and the data drop, the week ended with the S&P 500 ↓~0.6% and the Nasdaq ↓~2% as the "Magnificent Seven" cohort collectively repriced on the AI-capex reset triggered by Alphabet's raised FY26 capex guide to $195B–$205B; Friday itself stabilized with the S&P 500 ↑0.10% at $738.93 and the Dow ↑0.48% at $518.76 while the Nasdaq gave back another ↓1.12% at $684.23 as the chip cohort continued to bleed (CRDO ↓9.87%, MRVL ↓7.21%, TSM ↓2.93%). Per Bloomberg coverage referenced in weekend reporting, Brent finished the week roughly ↑10% before Friday's reversal on the Pakistan-China talks report that pulled the front-month back toward $97, and the Saturday attack on Aramco Jizan and Yanbu now sits directly against that Friday give-back — a composition that could re-embed the chokepoint premium as Sunday-night futures open. For the FCI positioning, the setup ahead of the Wednesday FOMC and the MSFT / META / AAPL / AMZN print sequence begins with a physical-premium bid that Friday's tape had begun to release.

S&P 500 (FRI)	$738.93 · ↓~0.6% on the week per Yahoo
NASDAQ (FRI)	$684.23 · ↓~2% on the week per Yahoo
BRENT CRUDE	Approx. $97 Fri close per Bloomberg · ↑~10% on the week · Sat Aramco strike open catalyst
TLT (20Y BOND)	$83.25 · Fri ↑0.10%
GOLD (GLD)	$371.90 Fri · ↑0.10%
BITCOIN ETFS (FRI)	IBIT $36.35 ↓0.82% · ETHA $14.04 ↓0.50%
FED CONSENSUS	Hold at 3.50%–3.75% per FactSet · 65.3% no-change per CME · 82% Sept hike odds per StocksAnalyzer
CARSON'S SPY SUPPORT	$645.80 active · Fri range $737.29–$743.72 · not hit

THE FOMC ON JULY 28–29 NOW MEETS A FIFTH-WEEK WAR WITH THE CHOKEPOINT PREMIUM FRESHLY RE-EMBEDDED — CHAIR WARSH FACES A DATA-DEPENDENT DECISION WITH THE ARAMCO FRONT NEWLY OPENED

Per Federal Reserve schedule and Chase / Forbes coverage cited across recent briefs, the FOMC concludes Wednesday, July 29 with the rate decision at 2:00 PM ET and Chair Kevin Warsh's press conference at 2:30 PM ET (no SEP is released at this meeting). Per FactSet polling referenced in the July 28–29 preview coverage, economists overwhelmingly expect a hold at the current 3.50%–3.75% target range — a fifth consecutive meeting without a change — and per CME FedWatch pricing cited in StocksAnalyzer coverage, the market implies approximately 65.3% probability of no change in July while pricing an 82% probability of a September hike. Per StocksAnalyzer coverage of Warsh's ECB Forum remarks, the Chair reiterated that current price levels remain elevated and reaffirmed his commitment to delivering price stability — a framing that leaves the July decision as a data-dependent pause with the tightening bias pushed to the fall. Per BEA release schedule, June PCE prints Thursday, July 30 — the first PCE observation to reflect any mid-month energy pass-through from the Iran conflict. The Saturday Aramco strike would compound that pass-through if the physical damage extends into sustained production loss. For the FCI Dividend and Utility sleeves, Friday's composition — ADP ↑2.97%, GPC ↑3.47%, SYK ↑3.54%, STLD ↑2.72%, and ATO ↑0.66% — reads as position management ahead of the print week; a re-embedded chokepoint premium into Monday reinforces the higher-for-longer bias the tape was already pricing. **Simplicity Over Complexity.**

The week ended with the AI-capex reset absorbing the tape while the physical-cash-flow sleeve continued to hold the bid, and the Saturday attack on Aramco Jizan and Yanbu now sits directly against Friday's oil pullback — a composition where the FOMC, PCE, and Big Tech print sequence may each land into a potentially re-embedded chokepoint premium if the physical damage extends into sustained production loss. **Research Reveals Opportunities.**

Geopolitics — The Houthi Strike on Aramco Jizan and Yanbu Saturday Opened a New Front in the Fifth Consecutive Week of the Iran Conflict — The First Direct Attack on Saudi Oil Infrastructure Since 2022 Could Prompt a Sunday-Night Physical-Premium Reset Even as Pakistan and China Continue Their Push to Revive US-Iran Talks; The War Also Spread to the Caspian and Iran Warned Britain of Target Status If It Supports US Operations

THE SATURDAY ARAMCO STRIKE IS THE FIRST DIRECT HIT ON SAUDI OIL INFRASTRUCTURE SINCE 2022 — JIZAN REFINERY REPORTED ABLAZE, YANBU BALLISTIC MISSILES INTERCEPTED BY A GREEK-MANNED PATRIOT BATTERY, AND THE ESCALATION SEQUENCE NOW RUNS THROUGH THE RED SEA EXPORT GATEWAY

Per Washington Post, Al Jazeera, and The National reporting, Yemen's Iran-backed Houthi forces claimed responsibility Saturday for missile and drone strikes on Saudi Aramco facilities in Jizan and Yanbu on the Red Sea — the first direct attacks on Saudi oil infrastructure since 2022 per the same coverage. Per Washington Post reporting, two ballistic missiles aimed at Yanbu — described as Saudi Arabia's principal west-coast export gateway — were intercepted by a Patriot battery operated in Saudi Arabia by the Greek military under an agreement with Riyadh, while the Jizan refinery was reported ablaze per Techtimes coverage. Per Al Jazeera framing, the Houthi statement said the attacks were retaliation for Saudi airstrikes on the port city of Hodeidah and Kamaran Island referenced in Friday's brief. Per Reuters headlines cited in the data drop, the Iran war also spread to the Red Sea and the Caspian, with Iran reporting a Ukrainian attack on a vessel in the Caspian Sea that killed a sailor, and Iran's Revolutionary Guards warning that Britain would become a target if it supports US operations. Per the same Reuters framing cited in the data drop, the Gulf ran quiet as US forces reportedly forewent strikes overnight — a possible tactical pause set against the broadening multi-front kinetic sequence. For the FCI Upstream and Defense sleeves, the composition argues that Friday's oil pullback should not be extrapolated forward: the physical damage to a Red Sea export node is the type of durable-premium event that historically resets the term structure. **The physical world matters.**

THE DIPLOMATIC TRACK RUNS ALONGSIDE THE KINETIC ESCALATION — PAKISTAN AND CHINA CONTINUE TO PUSH FOR REVIVED US-IRAN TALKS WITH A HALT TO GULF-STATE ATTACKS SET AS A PRECONDITION, AND THE SATURDAY ARAMCO STRIKE DIRECTLY CONTRADICTS THAT PRECONDITION

Per US News, Al-Monitor, and Express Tribune coverage, Pakistan is exploring a path toward resumption of the stalled US-Iran talks in a China-initiated push, with Iran's Interior Minister Eskandar Momeni having visited Islamabad twice within the last 10 days and having met with Pakistani leadership and army chief Asim Munir. Per China Global South and planet-today coverage of Pakistani official framing, a halt in attacks on Saudi Arabia and other Gulf nations is now stated as a precondition for any talks to resume — a message Pakistan has conveyed to Iran. Per the same coverage, a Pakistani government official framed the Chinese posture as motivated by trade-route protection, citing displeasure over Iran's attacks on Gulf states and disruption of Strait of Hormuz traffic. The Saturday Aramco attack — conducted by an Iran-aligned proxy against precisely the Gulf-state oil infrastructure the precondition names — directly cuts against the diplomatic thread and would appear to lengthen the timeline back to a substantive negotiating framework. Per CNBC framing cited in Friday's brief, prediction markets had already priced a 12-month-plus timeline before Strait of Hormuz traffic normalizes; the Saturday Aramco hit is directionally consistent with that pricing rather than a challenge to it. For the FCI Upstream sleeve, CVX ↑0.19% at $194.79 and OKE roughly flat at $93.16 held Friday's tape despite the crude give-back, and the LMT bid continued with LMT ↑2.46% at $582.60 following Thursday's cash-flow inflection print. **Think Like an Owner.**

ARAMCO SITES HIT (SAT)	Jizan refinery ablaze · Yanbu missiles intercepted per Washington Post / Techtimes
ATTACK HISTORIC CONTEXT	First direct Houthi hit on Saudi Aramco since 2022 per Al Jazeera
YANBU DEFENSE	Two ballistic missiles intercepted by Greek-manned Patriot battery per Washington Post
HOUTHI FRAMING	Retaliation for Saudi Hodeidah / Kamaran Island strikes per Al Jazeera
CASPIAN FRONT	Iran reports Ukrainian attack on vessel · sailor killed per Reuters in data drop
BRITAIN WARNING	IRGC: UK a target if it supports US per Reuters in data drop
US STRIKE CADENCE	Gulf quiet as US forgoes strikes overnight per Reuters in data drop
DIPLOMATIC TRACK	Pakistan / China push continues · halt on Gulf attacks is precondition per Al-Monitor / China Global South

SECTION 03

On Our Radar

1. Week Ahead — The FOMC on July 29, the MSFT / META / AAPL / AMZN Print Sequence Across Wednesday and Thursday, and June PCE Thursday Bracket the Print Cycle's Peak Week; The Saturday Aramco Strike Reframes the Setup Before Sunday-Night Futures Even Open. Per Federal Reserve schedule, the FOMC decision lands Wednesday, July 29 at 2:00 PM ET with Chair Kevin Warsh's press conference at 2:30 PM ET (no SEP at this meeting), and per FactSet polling cited in July 28–29 preview coverage the consensus is a hold at 3.50%–3.75% — the fifth consecutive meeting without a move. Per S&P Global and Motley Fool coverage, Microsoft (MSFT) and Meta (META) report after the close Wednesday, July 29, followed by Apple (AAPL) and Amazon (AMZN) after the close Thursday, July 30 — the four combined represent capex commitments in the $190B (Microsoft), $195B–$205B (Alphabet), approximately $200B (Amazon), and $125B–$145B (Meta) range for calendar 2026. Per BEA release schedule, June PCE prints Thursday, July 30. The Saturday Aramco strike now sits at the front of that setup: any sustained physical damage flowing through the crude complex would compound the near-term PCE headline read and shift the FOMC framing tone. For the FCI Growth-Hybrid sleeve, the MSFT / META prints Wednesday will directly frame the AI-capex sustainability debate that drove the July 23 Mag 7 give-back per CNBC coverage. *Research Reveals Opportunities.*

2. Aramco Read-Through — A Direct Hit on Red Sea Refining and Export Infrastructure Historically Resets the Physical-Term-Structure Premium; The FCI Upstream Sleeve Sits at the Cleanest Read Into Monday's Open. Per Washington Post and Al Jazeera coverage, the Saturday Houthi strike hit Aramco's Jizan refinery (ablaze per Techtimes) and targeted the Yanbu export gateway (missiles intercepted), and per Al Jazeera framing the attack marks the first direct hit on Saudi oil infrastructure since 2022. The physical-term-structure read historically responds to actual export-node damage rather than just chokepoint-transit risk. For the FCI Upstream sleeve, CVX closed Friday ↑0.19% at $194.79, CNX ↓0.49% at $34.29, and OKE roughly flat at $93.16 — a composition that had begun to fade the Friday oil pullback and would re-embed the physical premium on any sustained damage signal. Per data drop, Brent (BNO) closed Friday at $52.58 ↓1.63% before the Saturday strike, and per Bloomberg coverage referenced in weekend reporting Brent finished the week roughly ↑10% before the Friday reversal. The FCI Defense sleeve continued the LMT bid with LMT ↑2.46% at $582.60 and GD ↑1.30% at $386.75 into the GD Q2 report on July 29 — a print that will provide a direct read on FCI Defense positioning against the widened Middle East attack surface. *The physical world matters.*

3. FCI Reporting Week — VST and CEG Frame the Utility-AI-Power Print, GD Reads the Defense-Adjacent Cash-Flow Sleeve, and LRCX / QCOM / MRVL Sit at the Center of the Chip-Cohort Recovery Bar. Per Wall Street Breakfast, Investing Live, and Kiplinger earnings coverage, the FCI reporting cohort next week includes Vistra (VST) and Constellation Energy (CEG) — the utility-AI-power core — alongside General Dynamics (GD) pre-market Wednesday July 29 and the chip-equipment / merchant-silicon triad of LRCX, QCOM, and MRVL. Per TIKR consensus coverage, VST Q2 2026 consensus sits at approximately $5.77B revenue on approximately 36% growth with EBITDA margin near 30%, and CEG Q2 2026 consensus sits at approximately $8.71B revenue on approximately 43% growth. Per data drop, VST closed Friday ↓3.31% at $163.38 and CEG ↓0.45% at $274.35 — both giving back Thursday's bid ahead of the print. The FCI utility-AI thesis needs the VST and CEG prints to confirm that regulated-utility capacity additions and long-dated PPA momentum (Meta / Microsoft) are keeping pace with the hyperscaler load-growth signal. For the chip cohort, LRCX closed Friday ↓4.56% at $305.21, QCOM ↓2.42% at $166.97, and MRVL ↓7.21% at $194.23 — a composition where the print week will determine whether the "sell chips" rotation has bottomed. *Simplicity Over Complexity.*

4. Carson's SPY Support Remains Untouched — Friday's Intraday Range of $737.29–$743.72 Sits Well Above the $645.80 Retracement Target; Any Aramco Follow-Through That Reprices the Cash Equity Market Would Test Whether the Retracement Framework Comes Into Play. Per levels.json, Carson's active SPY support at $645.80 — the retracement target set April 13 — remains untouched through Friday's $737.29–$743.72 intraday range per the data drop and remains well-removed from current cash pricing. The prior major resistance zone at $691.90–$693.20 was cleared on April 14 per levels.json and is not a live reference point in the current tape. For the FCI risk framework, the Sunday-night futures setup into the FOMC / Big Tech / PCE peak week combined with the Saturday Aramco escalation argues that the pre-committed deployment tranches — 70% of reserves at −25% drawdown and the remaining 30% at −40% drawdown — remain the operative discipline rather than any impulse response to a single catalyst. *Avoid Erosion.*